

Let us introduce a term called the ‘patience premium’. This is the difference between annualized returns generated by a stock or an index over any holding period compared to the return generated by the same stock or index over a one-year holding period. A positive value of ‘patience premium’ implies that the longer the holding period of a stock, the higher is the return generated from it for an investor. For example, if holding stocks for five years gives you 10 per cent annualized returns whereas holding stocks for one year gives you 7 per cent returns, then the patience premium is 3 per cent (10 per cent minus 7 per cent). Our analysis shows that, in general, there is a significant patience premium and that this premium grows as you increase the holding period from three years to ten years (see next chart).